

**SUBSTITUTE FOR
SENATE BILL NO. 700**

A bill to amend 1936 (Ex Sess) PA 1, entitled
"Michigan employment security act,"
by amending section 62 (MCL 421.62), as amended by 2024 PA 238.

THE PEOPLE OF THE STATE OF MICHIGAN ENACT:

1 Sec. 62. (a) Subject to subsection (h), if the unemployment
2 insurance agency determines that an individual has obtained
3 benefits to which the individual is not entitled, or a subsequent
4 determination by the agency or a decision of an appellate authority
5 reverses a prior qualification for benefits, the agency may recover
6 a sum equal to the amount received plus interest ~~pursuant to~~ **in**
7 **accordance with** section 15(a) by 1 or more of the following
8 methods: deduction from benefits or wages payable to the
9 individual, payment by the individual in cash, or deduction from a



1 tax refund payable to the individual as provided under section 30a
2 of 1941 PA 122, MCL 205.30a. Deduction from benefits or wages
3 payable to the individual is limited to not more than 50% of each
4 payment due the claimant. The unemployment insurance agency shall
5 issue a determination requiring restitution ~~within~~**not later than** 3
6 years after the date of finality of a determination,
7 redetermination, or decision reversing a previous finding of
8 benefit entitlement. Except in the case of benefits improperly paid
9 because of suspected identity fraud, the unemployment insurance
10 agency shall not initiate administrative or court action to recover
11 improperly paid benefits from an individual more than 3 years after
12 the date that the last determination, redetermination, or decision
13 establishing restitution is final. Except ~~in the case of~~**for**
14 benefits improperly paid because of suspected identity fraud, the
15 unemployment insurance agency shall issue a restitution
16 determination on an issue ~~within~~**not later than** 3 years ~~from~~**after**
17 the date the claimant first received benefits in the benefit year
18 in which the issue arose, or in the case of an issue of intentional
19 false statement, misrepresentation, or concealment of material
20 information in violation of section 54(a) or (b) or sections 54a to
21 54c, ~~within~~**not later than** 3 years after the receipt of the
22 improperly paid benefits unless the unemployment insurance agency
23 filed a civil action in a court within the 3-year period; the
24 individual made an intentional false statement, misrepresentation,
25 or concealment of material information to obtain the benefits; or
26 the unemployment insurance agency issued a determination requiring
27 restitution within the 3-year period. The time limits in this
28 section do not prohibit the unemployment insurance agency from
29 pursuing collection methods to recover the amounts found to have



1 been improperly paid. Except ~~in a case of~~ **for** an intentional false
2 statement, misrepresentation, or concealment of material
3 information, the unemployment insurance agency shall waive recovery
4 of an improperly paid benefit if repayment would be contrary to
5 equity and good conscience and shall waive any interest. As used in
6 this subsection, "contrary to equity and good conscience" means any
7 of the following:

8 (i) The claimant provided incorrect wage information without
9 the intent to misrepresent, and the employer provided either no
10 wage information upon request or provided inaccurate wage
11 information that resulted in the overpayment. A waiver granted
12 under the conditions described in this subdivision applies from 30
13 days after the incorrect wage information was first reported to the
14 unemployment insurance agency.

15 (ii) The claimant's average net household income and household
16 cash assets, exclusive of social welfare benefits and unemployment
17 insurance benefits, were, during the 6 months immediately preceding
18 the date of the application for waiver, at or below 150% of the
19 annual update of the poverty guidelines most recently published in
20 the Federal Register by the United States Department of Health and
21 Human Services under the authority of 42 USC 9902(2), and the
22 claimant has applied for a waiver under this subsection. The
23 unemployment insurance agency shall not consider more than 3
24 additional hardship waiver applications from a claimant in a
25 calendar year after receiving an application for a waiver from the
26 claimant. A claimant may not file a new hardship waiver application
27 until a determination, redetermination, administrative decision, or
28 judicial decision regarding the initial application for waiver is
29 final. A waiver granted under the conditions described in this



subdivision applies from the date the application is filed. If the waiver is granted, the unemployment insurance agency shall promptly refund any restitution or interest payments made by the individual after the date of the application for waiver. The unemployment insurance agency shall not deny or refuse to consider an application for a waiver of restitution submitted by a claimant for any matter that has received a final adjudication solely because the claimant has a pending appeal of 1 or more matters that generated the overpayment under consideration to be waived. As used in this subdivision:

(A) "Cash assets" means cash in excess of \$100,000.00 in a checking or savings account, not including wages reported during that period.

(B) "Dependent" means that term as defined in section 27(b) (4) .

(C) "Household" means a claimant and the claimant's dependents.

(iii) ~~The improper payments resulted from~~ **improperly paid benefit is the result of** an administrative or clerical error **made** by the unemployment **insurance** agency. A requirement to repay benefits as the result of a change in judgment at any level of administrative adjudication or court decision concerning the facts or application of law to a claim adjudication is not an administrative or clerical error for purposes of this subdivision. A waiver granted under the conditions described in this subdivision applies from the date that the administrative or clerical error occurred. If the date the error occurred cannot be determined, the waiver applies from the first day of the first week that the ~~improper payments~~ **improperly paid benefit** for which the waiver is



1 being sought began.

2 **(iv) Except for a claim in which a final determination or**
3 **decision is made that establishes the improperly paid benefit is**
4 **the result of the claimant's fraud, the improperly paid benefit is**
5 **for a claim in which 3 years have elapsed since the end of the**
6 **benefit year established for the claim. This subdivision applies**
7 **retroactively to all claims for which the benefit year established**
8 **for the claim began on or after February 1, 2020. The unemployment**
9 **insurance agency shall notify a claimant of a waiver granted under**
10 **this subdivision when the claimant becomes eligible for the waiver.**
11 **A claimant may submit an application to the unemployment insurance**
12 **agency, on a form and in the manner prescribed by the unemployment**
13 **insurance agency, to request that recovery of an improperly paid**
14 **benefit be waived under this subdivision. Upon receipt of the**
15 **application, the unemployment insurance agency shall consider and**
16 **issue a determination on whether to grant or deny the waiver**
17 **request. A determination issued under this subdivision is**
18 **appealable in the same manner as any other determination made by**
19 **the unemployment insurance agency.**

20 (b) If the unemployment insurance agency determines that a
21 claimant has intentionally made a false statement or
22 misrepresentation or has concealed material information to obtain
23 benefits, whether or not the claimant obtains benefits by or
24 because of the intentional false statement, misrepresentation, or
25 concealment of material information, the unemployment insurance
26 agency shall, in addition to any other applicable interest and
27 penalties, cancel the claimant's rights to benefits for the benefit
28 year in which the act occurred as of the date the claimant made the
29 false statement or misrepresentation or concealed material



1 information, and shall not use wages used to establish that benefit
2 year to establish another benefit year. A chargeable employer may
3 protest a claim filed after October 1, 2014 to establish a
4 successive benefit year under section 46(c), if there was a
5 determination by the unemployment insurance agency or decision of a
6 court or administrative tribunal finding that the claimant made a
7 false statement, made a misrepresentation, or concealed material
8 information related to the claimant's report of earnings for a
9 preceding benefit year claim. If a protest is made, the
10 unemployment insurance agency shall not use any unreported earnings
11 from the preceding benefit year that were falsely stated,
12 misrepresented, or concealed to establish a benefit year for a
13 successive claim. Before receiving benefits in a benefit year
14 established ~~within~~ **not later than** 4 years after cancellation of
15 rights to benefits under this subsection, the claimant, in addition
16 to making the restitution of benefits established under subsection
17 (a), may be liable for an additional amount as otherwise determined
18 by the unemployment insurance agency under this act, which may be
19 paid by cash, deduction from benefits, or deduction from a tax
20 refund. The claimant is liable for any fee the federal government
21 imposes with respect to instituting a deduction from a federal tax
22 refund. Restitution resulting from the intentional false statement,
23 misrepresentation, or concealment of material information is not
24 subject to the 50% limitation provided in subsection (a).

25 (c) Any determination made by the unemployment insurance
26 agency under this section is final unless an application for a
27 redetermination is filed in accordance with section 32a.

28 (d) The unemployment insurance agency shall take the action
29 necessary to recover all benefits improperly obtained or paid under



1 this act, and to enforce all interest and penalties under
2 subsection (b). The unemployment insurance agency may conduct an
3 amnesty program for a designated period under which penalties and
4 interest assessed against an individual owing restitution for
5 improperly paid benefits may be waived if the individual pays the
6 full amount of restitution owing within the period specified by the
7 agency.

8 (e) Interest recovered under this section must be deposited in
9 the contingent fund.

10 (f) The unemployment insurance agency shall not make a
11 determination that a claimant made an intentional false statement,
12 misrepresentation, or concealment of material information that is
13 subject to sanctions under this section based solely on a computer-
14 identified discrepancy in information supplied by the claimant or
15 employer. An unemployment insurance agency employee or agent must
16 examine the facts and independently determine that the claimant or
17 the employer is responsible for a willful or intentional violation
18 before the agency makes a determination under this section.

19 (g) By January 31 each year, ~~beginning in 2019,~~ the
20 unemployment insurance agency shall provide a written report
21 regarding waivers under subsection ~~(a) (ii) (a)~~ to the chairpersons
22 of the standing committees and the appropriations subcommittees of
23 the house of representatives and senate having jurisdiction over
24 legislation pertaining to employment security. The report must
25 include all of the following information from the immediately
26 preceding calendar year in a form that does not identify an
27 individual, claimant, or employer:

28 (i) The procedures relating to waivers that the unemployment
29 insurance agency used or adopted.



(ii) The number of applications for a waiver the unemployment insurance agency received.

(iii) The number of individuals who submitted an application for a waiver.

(iv) The number of waivers that were granted by each of the following methods:

(A) An unemployment insurance agency determination.

(B) An unemployment insurance agency redetermination.

(C) An administrative law judge order.

(D) A Michigan compensation appellate commission order.

(E) A court order.

(v) The number of waivers that were denied, tabulated by the reason for the denial, by each of the following methods:

(A) An unemployment insurance agency determination.

(B) An unemployment insurance agency redetermination.

(C) An administrative law judge order.

(D) A Michigan compensation appellate commission order.

(E) A court order.

(vi) The total amount of restitution waived.

(h) The unemployment insurance agency shall not initiate recovery of improperly paid benefits under subsection (a) until the unemployment insurance agency has reviewed the claim for eligibility to receive a waiver under subsection (a) (i) , ~~and (iii) ,~~ **and (iv)** to which the claimant may be entitled and issued a notice to the claimant that includes all of the following information:

(i) A determination of eligibility for each waiver for which eligibility was considered or, if a determination could not be reached, the information the unemployment insurance agency needs to make a determination.



1 (ii) The consequences of each determination on the claimant's
2 benefit rights and any overpayment owed, including the issue or
3 matter generating the overpayment and the weeks of benefits
4 affected.

5 (iii) The claimant's protest and appeal rights with respect to
6 the determination or redetermination on the claimant's eligibility
7 for a waiver and the underlying determination or redetermination
8 that generated the overpayment.